



TARIFFS RESHAPE The Global ELECTRONICS TRADE

The US Executive Order on reciprocal tariffs imposes a 26% duty on Indian exports—electronics, smartphones, telecom gear, and machinery. While challenging for exporters, the move favours India as regional competitors face steeper rates. The order is set to reshape supply chains, redirect investments, and influence trade talks. This piece examines its impact on India's ICT sector and the strategic decisions ahead.

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Global trade has resembled a high-stakes game with shifting rules since the advent of US tariffs—commonly known as the 'Trump Tariffs.' Originally introduced under Section 301 of the Trade Act of 1974 to counter unfair trade practices, particularly by China, these measures have since expanded into a tangled web of duties far beyond their initial intent. Today, countries from Vietnam to Myanmar, and even the European Union, must navigate this volatile terrain, facing varying tariff rates based on trade surpluses and economic behaviour.

For the electronics industry—the backbone of modern technology—these changes have not merely raised the cost

of doing business; they have reconfigured global supply chains. Companies are being forced to reassess sourcing, production, and market strategies in real time, from semiconductors to smartphones. And it is not just about paying more at customs. As the US sharpens its strategy, deploying reciprocal tariffs based on trade imbalances, import-export dependencies, and even component origin tracing, the industry faces a sobering truth: Adaptability is not optional—it is survival.

Those anticipating the next move will thrive in this new era of global commerce. Those who delay will struggle to catch up.

For businesses, the message is clear:

- Stay informed.
- Understand the legal framework.
- Reengineer your supply chain

before you're forced to.

How tariffs are reshaping the electronics industry

Imagine being an electronics manufacturer. Your latest product is sleek, smart, and built from components sourced globally. But here is the problem: Before it even reaches the shelf, its price is already under pressure. From semiconductors to

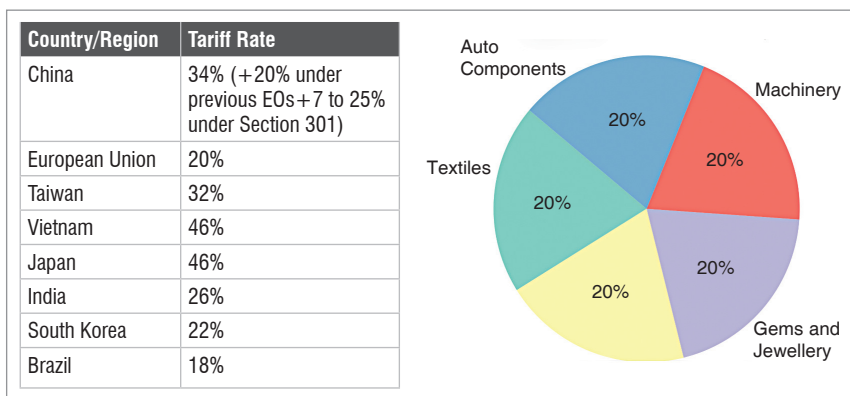


Fig. 1: Country-specific tariff rates and sectoral impact: India